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Investor Presentation | Asia Pacific

Asia Summer School: HK/ASEAN Banks

The session will cover industry structure, individual banks under our coverage and stock price drivers. We also focus on key thematicatics including capital returns, wealth management, Singapore’s EQDP and the emergence of digital assets.

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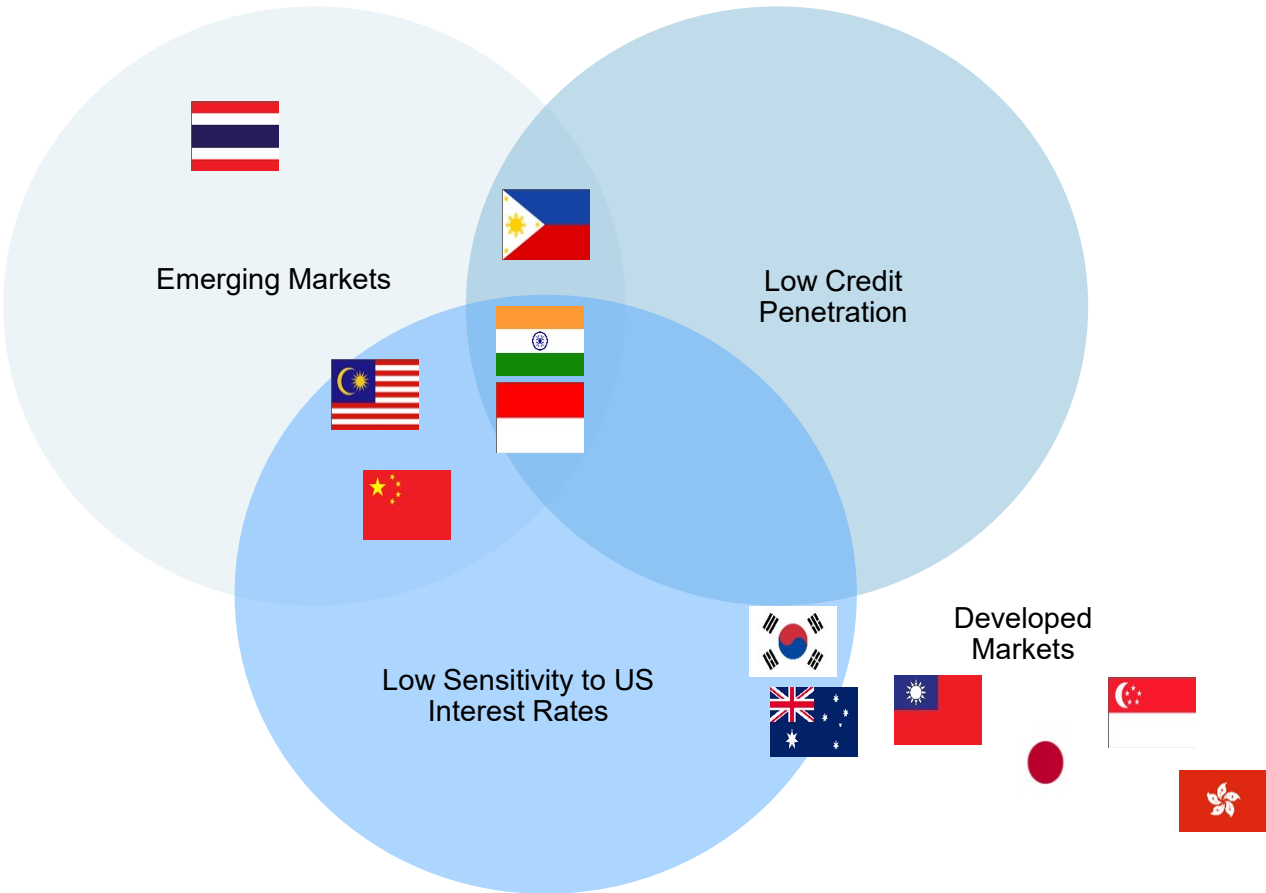
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Asia Summer School 2026



I. MAPPING HK/ASEAN BANKS

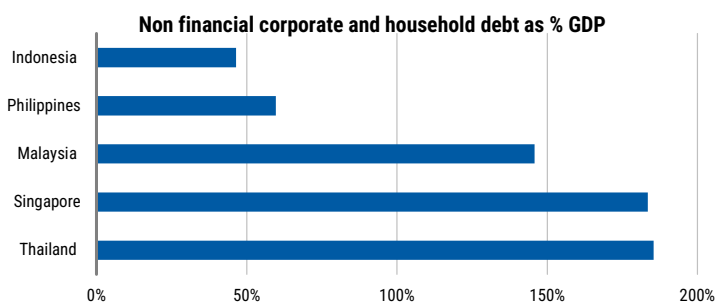
Banking Markets in Context



Source: Morgan Stanley Research

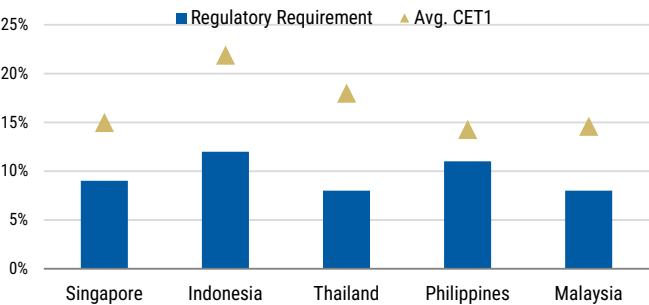
ASEAN in a Glimpse

Credit Penetration



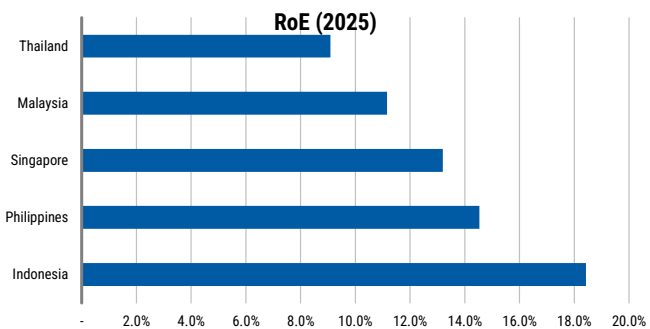
Source: CEIC, Haver, Morgan Stanley Research. Data as of end of 2025.

Capital Position



Source: Company Reports, Morgan Stanley Research

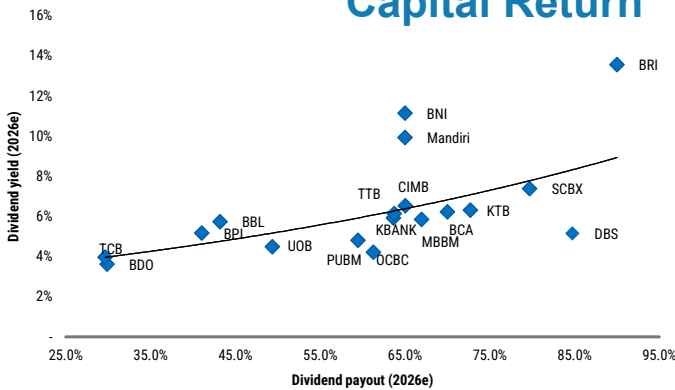
Return Level



Source: Company Reports, Morgan Stanley Research

Themes

Capital Return



Source: Morgan Stanley Research estimates

ASEN Banks Evolving Industry Landscape

Indonesia

- Rebuilt in the wake of the 1998 Asia Financial Crisis, Indonesia's banks have grown loans at an 8% CAGR (2014-25) This has been driven by the country's private debt to GDP ratio of less than 50%, the lowest in the region, and strong economic growth in the recent past.
- The industry's loan/deposit ratio (LDR), climbed from 44% in 2002 to 96% in May-19 as deposits lagged loan growth. In the past two years, softer loan growth and rising liquidity has driven a fall in LDR to 80% (Dec 2022), but has recovered to ~90% now.
- Sector is dominated by four large banks, there is also a long tail of mid and small sized banks, potentially leading to more consolidation.

Thailand

- A developing market with structural issues due to highly indebted economy, (household debt of GDP of ~87%) and ageing demographics.
- Loan growth has slowed significantly since 2014 to 2-5%. Asset quality has been an issue since 2012 when the banks faced consumer/ auto credit quality issue, followed by SME credit issues in 2014 and more recently credit quality issues from Covid-19. After several years of loan book consolidation, the question is whether credit quality is now on a sounder footing.
- Returns have been under pressure from lower fees and higher credit charges. Banks looking to develop higher margin businesses outside of traditional competencies e.g., digital unsecured lending, wealth
- Relatively concentrated banking system leaving little room for further consolidation

Philippines

- Banking sector predominantly caters to corporate customers; this is one of the drivers of low historic RoA. Loan growth slowed materially in 2019-21, before recovering to 8% loan growth in 2023 and 12% in 2024 and 10% in 2025.
- Financial inclusion is on the central bank's agenda and there is a strong push towards cashless transactions, but banks have lagged in their digital transformation.
- **Cost to income ratio** is one of the highest in the region driven by investment and the Philippines archipelagic geography. **Asset quality** has not been an issue since the GFC and the banks have managed credit risks from Covid-19 well, helped by low system leverage.
- Historically, **capital ratios** tend to be at the lower end, and capital raising is common in each credit cycle but low loan growth over the past years has changed the dynamics.

Source: Company Reports, Morgan Stanley Research

Evolving Industry Landscape

Singapore

- A mature economy with a relatively low loan growth of 3-5%. Interest rate has been one of the largest drivers of returns. Market is relatively consolidated.
- Most of the banks have regional presence with DBS and OCBC having a Greater China focus and UOB has more of a focus in ASEAN.
- Singapore banks have built a respectable fee franchise, particularly wealth management. In recent years there has been a greater focus on capital returns. The banks are seen as global leaders in digitization, especially DBS. Singapore is a leader in the digital assets space.

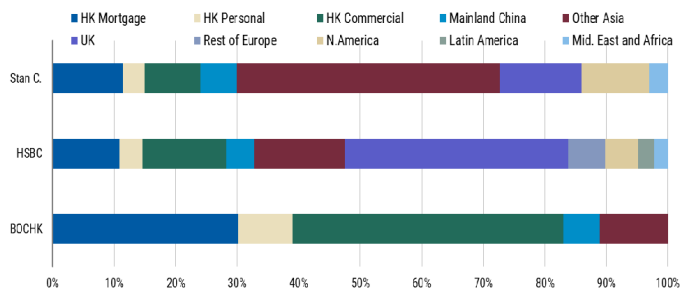
Malaysia

- A relatively mature market and loan growth has slowed to 5-6%, with mortgages as one of the largest drivers of loan growth. Asset quality in Malaysia has been relatively stable.
- Some of the banks have regional ASEAN presence. CIMB has significant exposure to Indonesia and Maybank has significant exposure to Singapore.
- There is a renewed focus on managing returns with rising shareholder payouts. In the past there has been discussions on banks' consolidation, even though the sector is already relatively consolidated.
- Since Malaysia has a large Muslim population, the country has a dual banking system, conventional and Islamic.

Source: Company Reports, Morgan Stanley Research

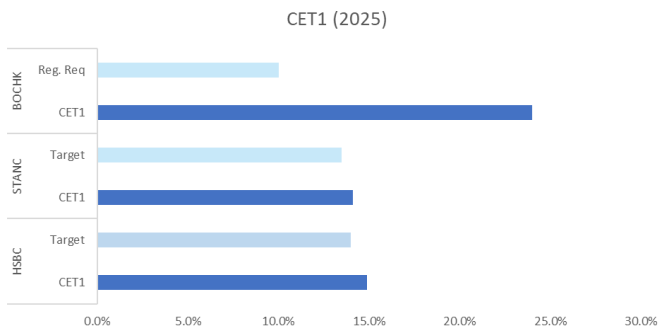
HK Banks Snapshot

Loan Book Split



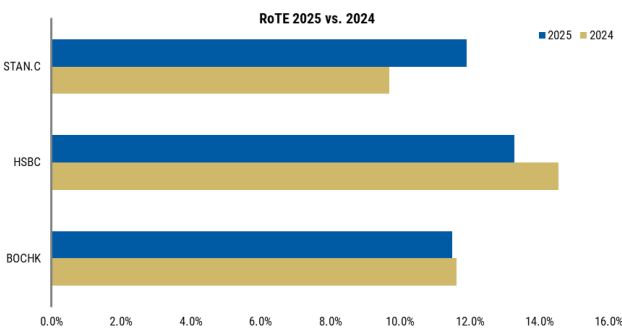
Source: Company Reports, Morgan Stanley Research. Data as of FY25. Data based on legal location of guarantor; economic allocation of loans maybe different

Capital Position



Source: Company Reports, Morgan Stanley Research. Reg. req refers to Pillar 1. HK banks also have an undisclosed Pillar 2 requirement

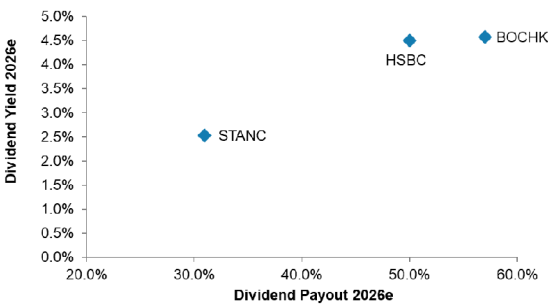
Return Level



Source: Company Reports, Morgan Stanley Research

Themes

Dividend Payout and Yield



Source: Company data, Morgan Stanley Research

Who are the HK Banks?

HSBC (5.HK)

- A London-headquartered bank with a dominant market share in HK (33% group revenues) and a large presence in UK (20% group revenues). The rest of the group spread across the rest of Asia and Europe, the Middle East and the Americas.
- A deposit-driven franchise with a strong CASA ratio, especially in HK. HSBC is rate sensitive.
- The key differentiating factor is its global network, with a strong focus on leveraging that network to support trade and capital flows and to grow its wealth businesses.
- RoE improving and the group targets 17% or better RoTE in each year from 2026 to 2028.
- We expect increased IT investment as HSBC looks to transform its business.

Standard Chartered (2888.HK)

- A London-headquartered, emerging markets-focused bank, with 60% of income from Asia, 6% from UAE and 14% from the UK and US. It has 81k employees across 54 markets.
- It survived GFC well but was hit by credit problems in 2015-17. The turnaround and transformation are now complete. Management is focused on achieving leadership in four key areas, EM wholesale banking, mass retail, affluent client business (wealth) and sustainability.
- RoTE is improving (11.9% in 2025), the key driver of share prices will be the extent to which RoTE can be lifted towards the >15% target by 2028e.

BOCHK (2388.HK)

- 65.65% owned by Bank Of China (BOC).
- HK-focused business, with 15%/20% deposit/loan market share in HK and a CASA ratio of 53.4%. Historically, it has grown loans and deposits ahead of the market.
- CNY clearing bank, dominant market share in China-linked IPOs.
- Mainland China presence is lower than other local HK banks (5% total loans). In 2016/17, it acquired most of BOC's ASEAN businesses.
- Operates with a low cost/income ratio (~24%), low credit costs (<50bps), and high capital ratios. ~50% dividend payout.

Source: Company Reports, Morgan Stanley Research

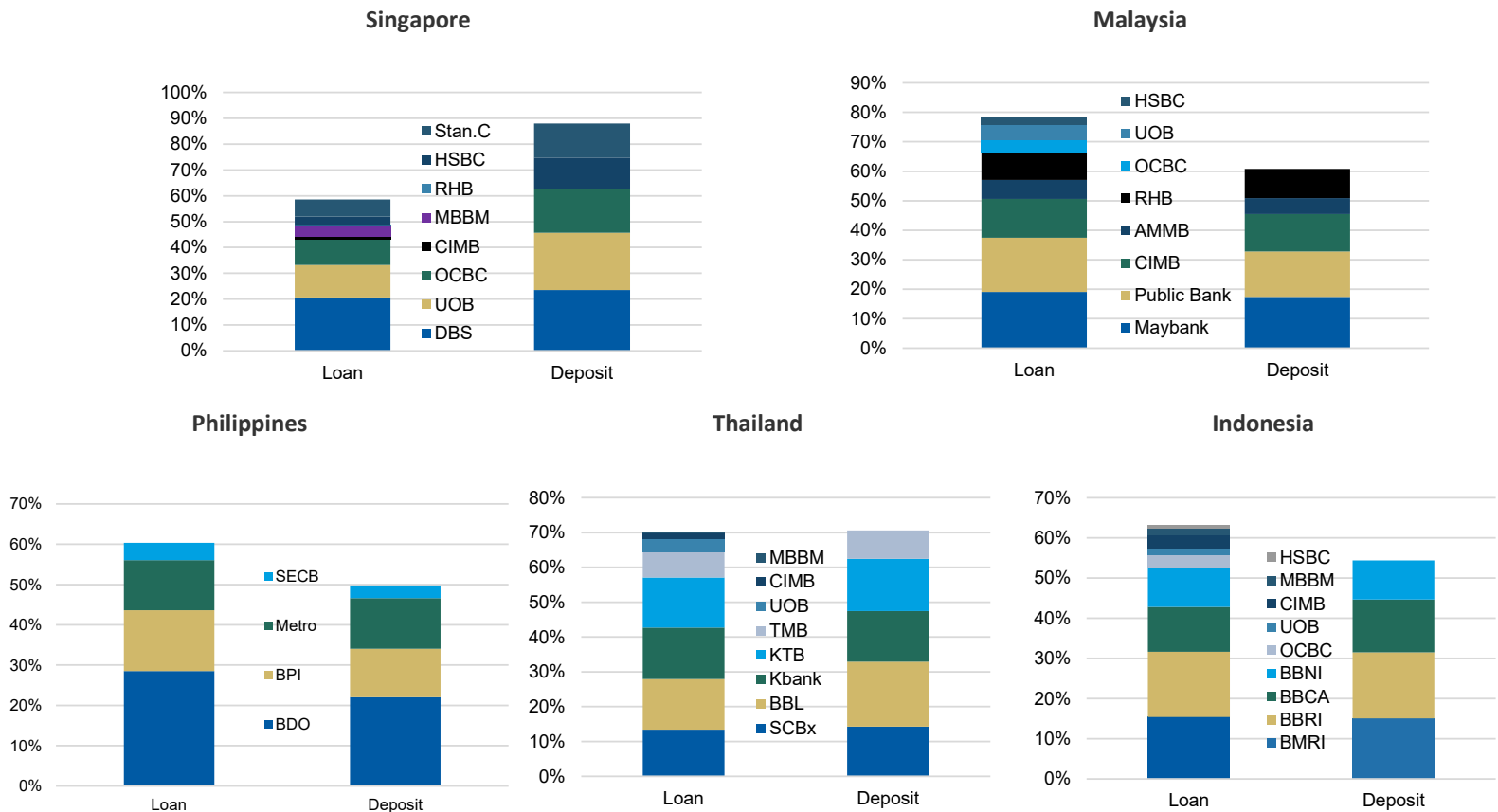
II. THE FUNDAMENTALS

Returns Profile

2025	Indonesia	Malaysia	Philippines	Singapore	Thailand	BOCHK	HSBC	Stan.C
Net int income	5.1%	2.1%	4.1%	1.6%	2.9%	1.2%	1.1%	1.3%
Interest income	7.3%	3.7%	5.9%	3.3%	4.0%	2.8%	3.1%	2.9%
Interest expense	-2.1%	-1.7%	-1.8%	-1.7%	-1.1%	1.6%	2.0%	1.6%
Non-int income	2.0%	0.8%	1.5%	0.9%	1.3%	0.6%	1.2%	1.1%
Net fee income	1.1%	0.3%	0.9%	0.1%	0.7%	0.3%	0.4%	0.5%
Non interest income	0.9%	0.5%	0.7%	0.9%	0.6%	0.3%	0.7%	0.6%
Operating income	7.1%	2.8%	5.6%	2.5%	4.1%	1.8%	2.3%	2.4%
Operating expense	-3.0%	-1.3%	-3.0%	-1.1%	-1.8%	0.4%	1.1%	1.5%
Pre-provision profit	4.1%	1.6%	2.6%	1.4%	2.3%	1.4%	1.2%	0.9%
Provision	-0.8%	-0.1%	-0.4%	-0.2%	-0.8%	0.2%	0.1%	0.1%
Loan Loss Provision	-0.9%	-0.1%	-0.4%	-0.2%	-0.8%	0.2%	0.1%	0.1%
Other provisions	0.2%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Operating profits	3.3%	1.4%	2.2%	1.3%	1.4%	1.2%	1.2%	0.8%
Others	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%
PBT	3.3%	1.4%	2.2%	1.3%	1.5%	1.1%	1.2%	0.8%
Tax	-0.7%	-0.3%	-0.4%	-0.2%	-0.3%	0.2%	0.2%	0.2%
PAT	2.6%	1.1%	1.8%	1.1%	1.2%	0.9%	0.7%	0.6%
Minorities	-0.1%	0.0%	0.0%	0.0%	-0.1%	0.0%	0.1%	0.1%
ROA	2.6%	1.1%	1.8%	1.1%	1.1%	0.9%	0.7%	0.5%
Leverage (x)	7.2	10.4	8.2	11.9	8.1	12.3	19.7	23.3
ROE	18.4%	11.2%	14.5%	13.2%	9.1%	11.4%	13.3%	12.0%

Source: Company Reports, Morgan Stanley Research

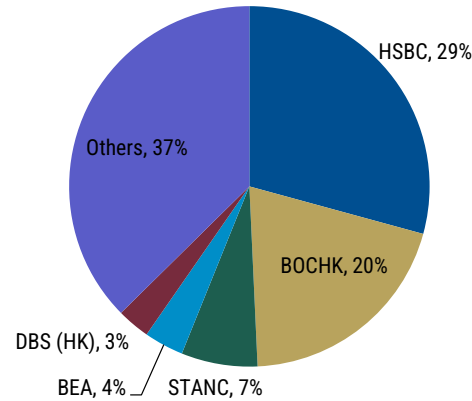
Market Structure in ASEAN



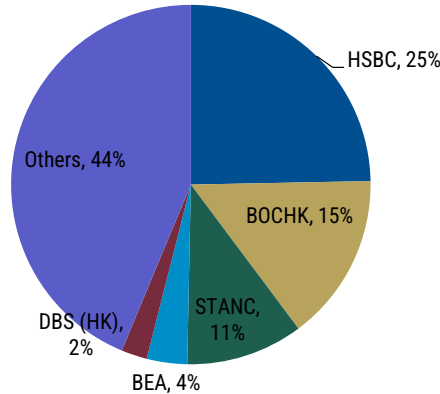
Source: Company Reports, Central Banks data, Morgan Stanley Research

Market Shares in Hong Kong

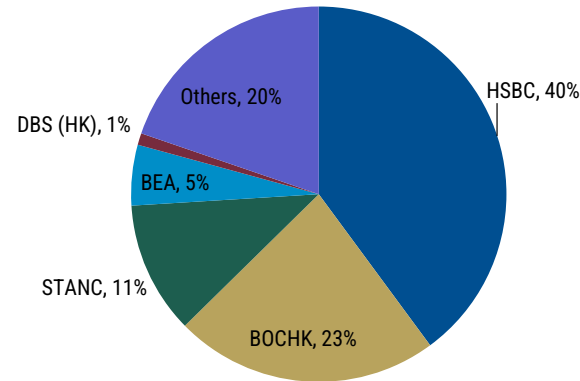
Loan for use in HK market share



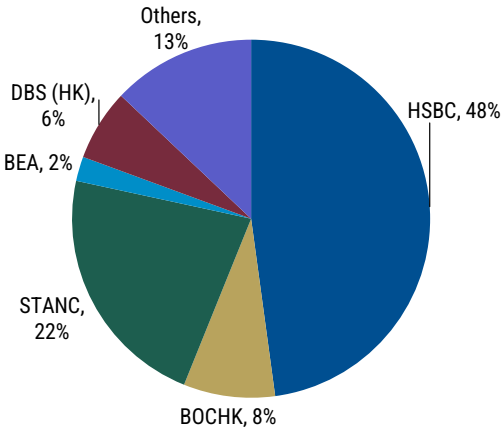
Deposit market share



Mortgage market share

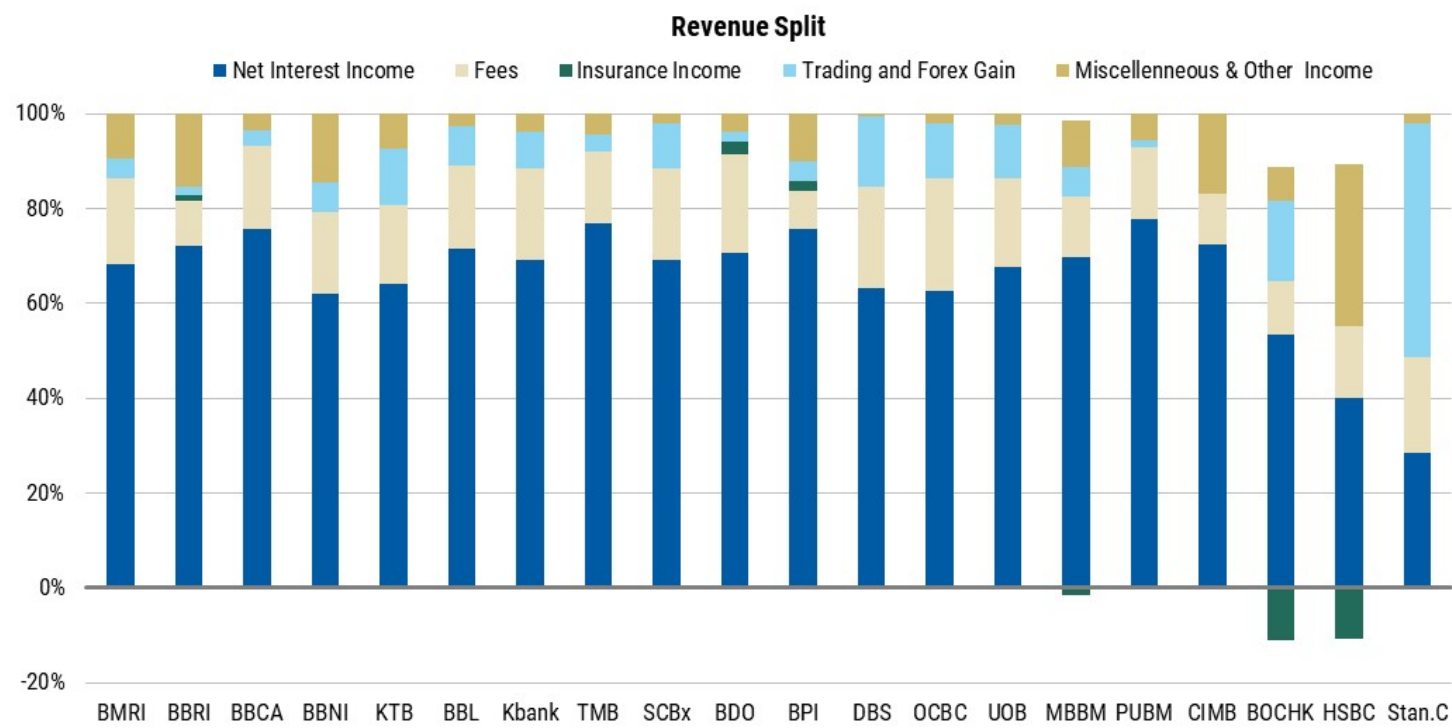


Credit card market share



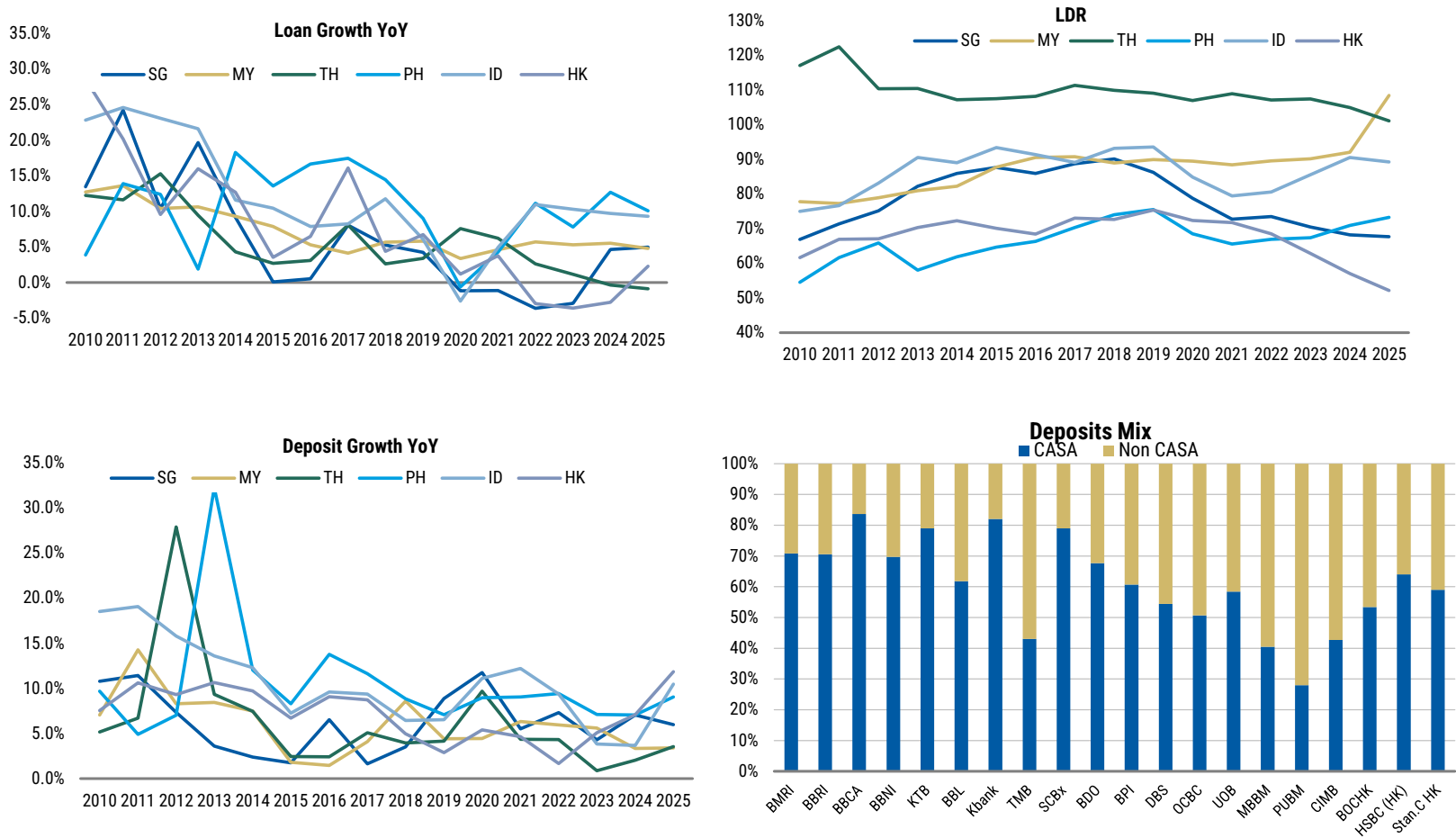
Source: HKMA, Company Reports, Morgan Stanley Research; * these are approximate market shares as company disclosure maybe inconsistent

Bank Revenues are dominated by NII, except for HSBC and Standard Chartered



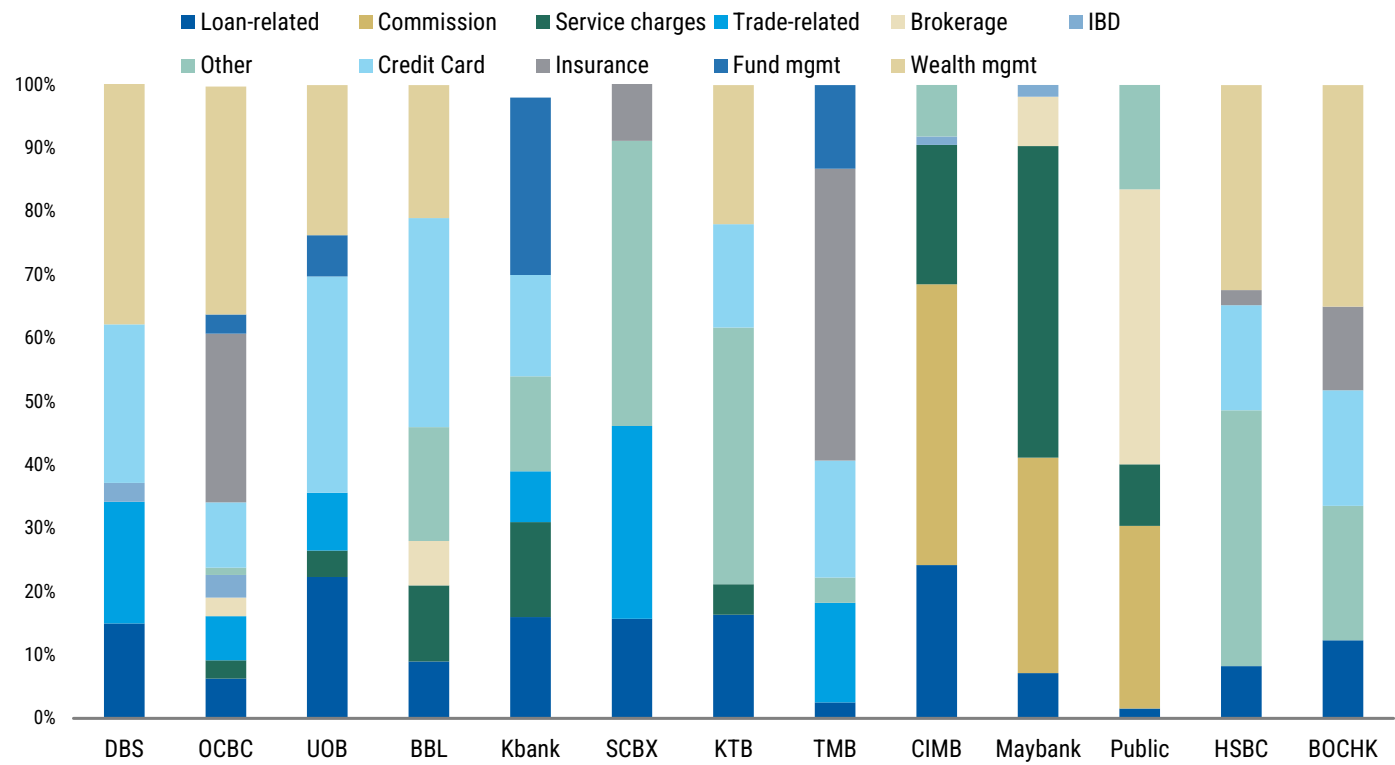
Source: Company Reports, Morgan Stanley Research

Loan and Deposit Growth



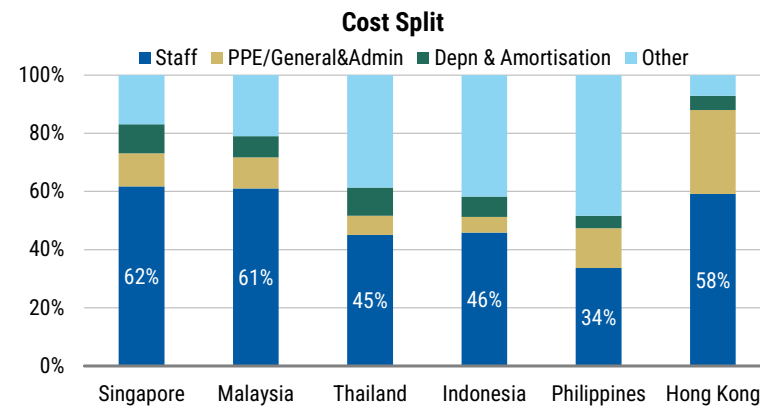
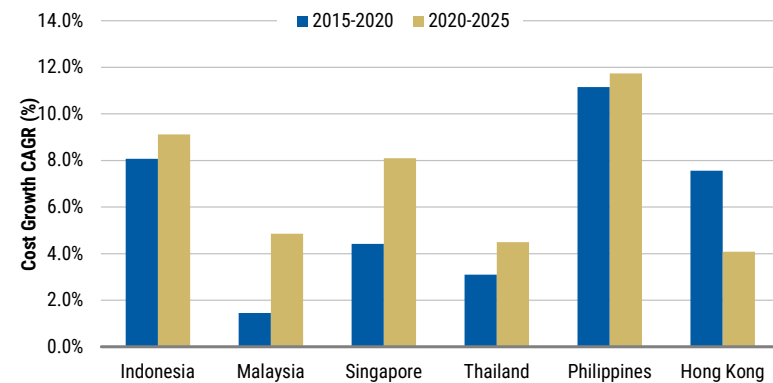
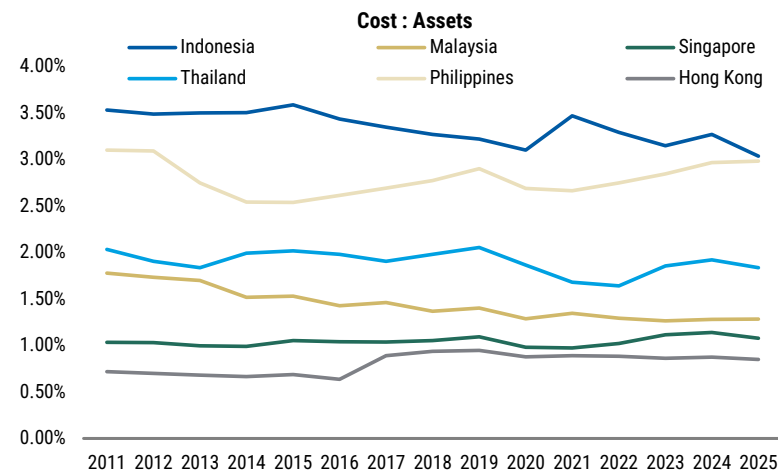
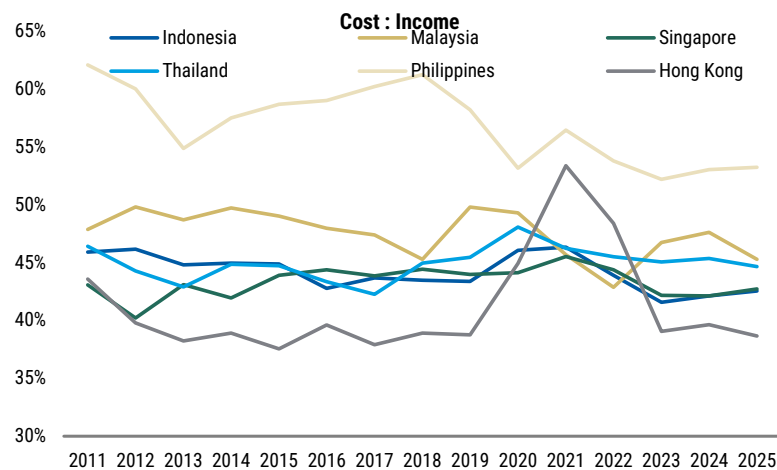
Source: Company Reports, Morgan Stanley Research. Singapore LDR refers to S\$ LDR and there was a break in series in 2021 as MAS changed disclosure in July 2021.

Fees Split



Source: Company Reports, Morgan Stanley Research. Definition may vary across the banks mentioned.

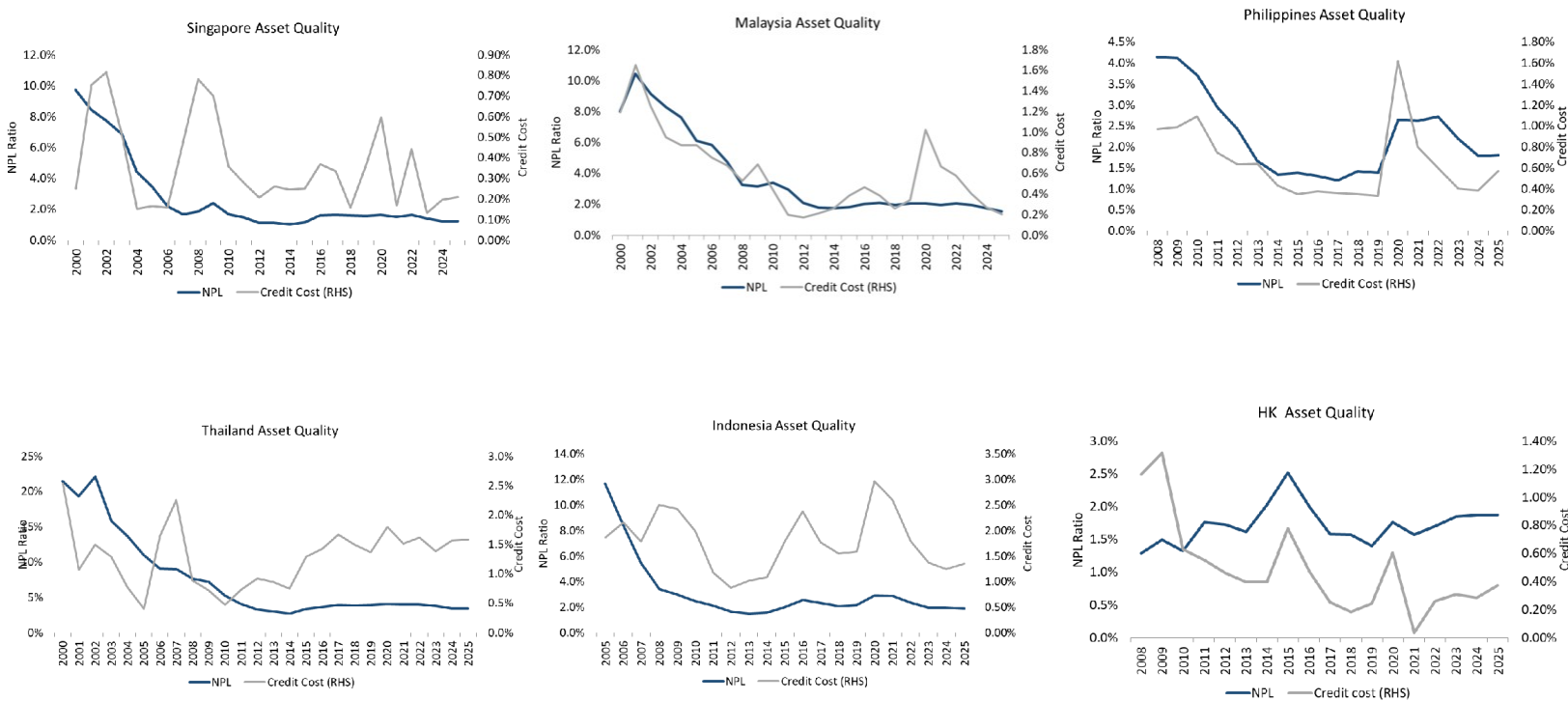
Operating Expenses



Source: Company Reports, Morgan Stanley Research. Hong Kong data include HSBC HK, Standard Chartered Hong Kong, and BOCHK

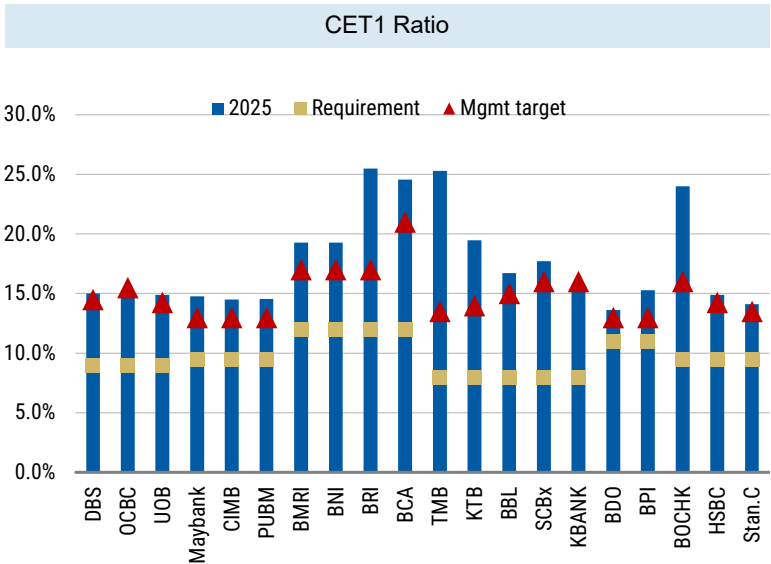
Credit Quality and Provisions

Basic indicators of banks' asset quality: gross NPL ratio, special mentioned loans, restructured loans, provisioning coverage and cost of credit

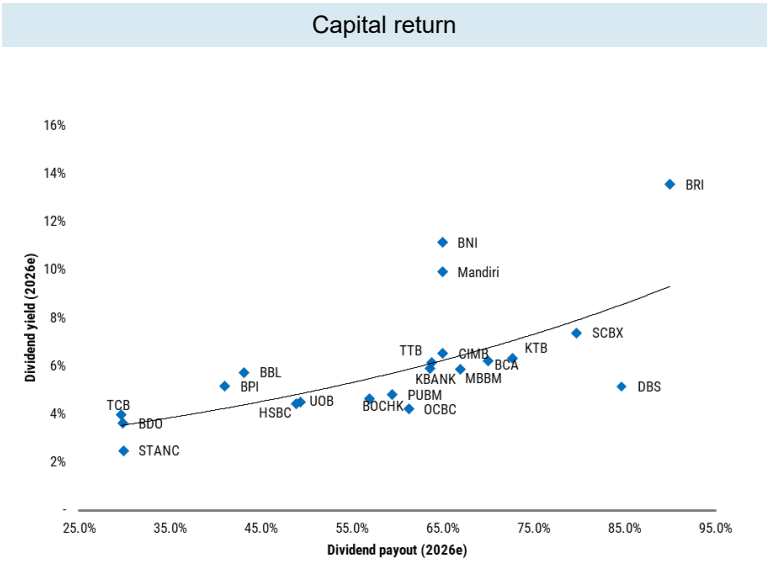


Source: Company Reports, Morgan Stanley Research

Capital & Dividend



Source: Company Reports, Morgan Stanley Research.
Singapore banks CET1 refers to fully phased in CET1.

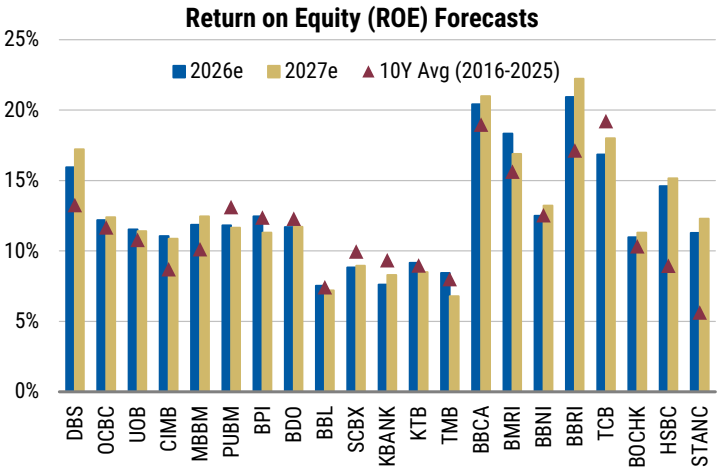


Source: Company Reports, Morgan Stanley Research

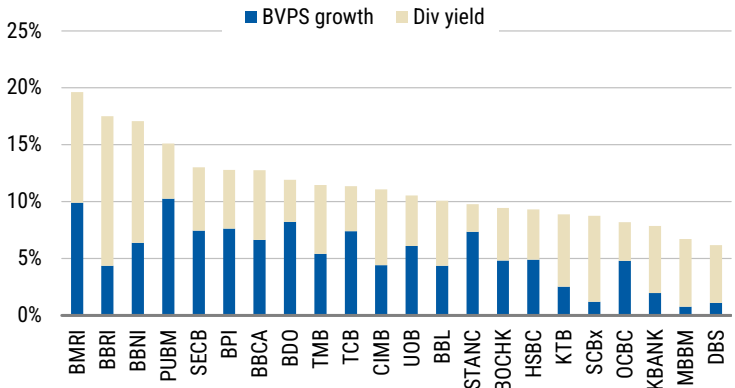
III. KEY DEBATES?

Total Shareholder Return and Valuation

Return on Equity

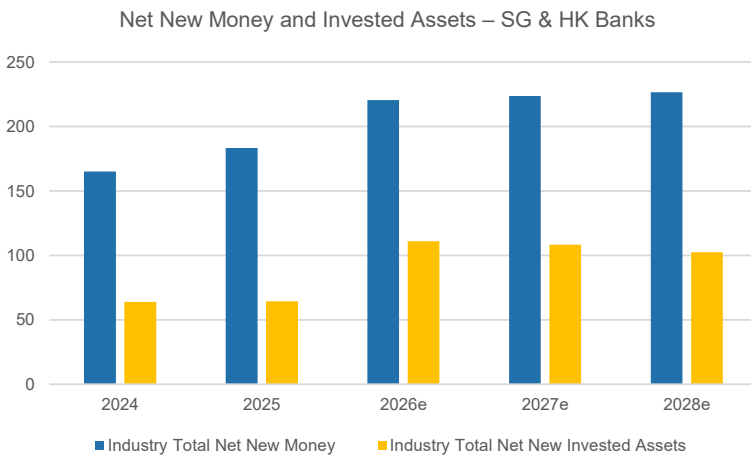
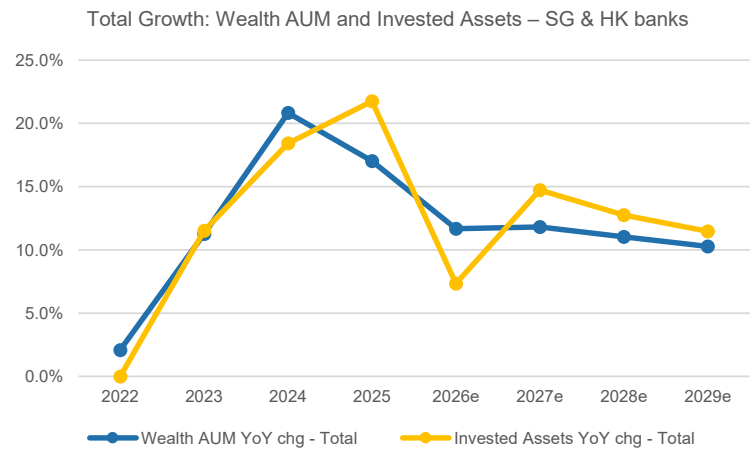
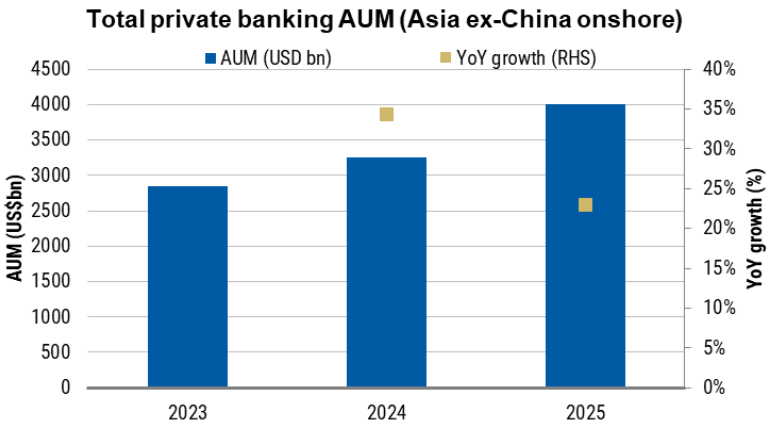
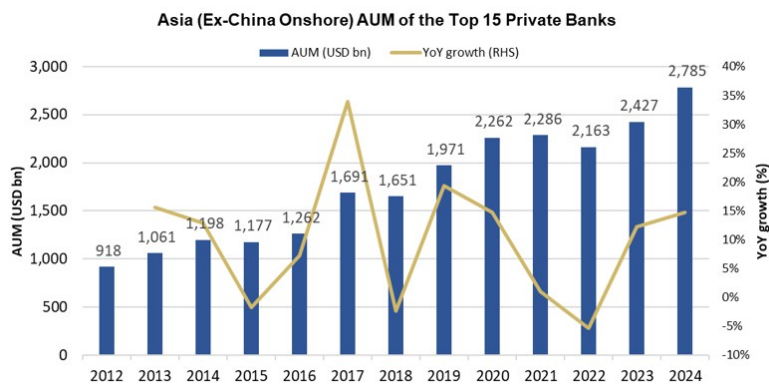


Total Shareholder Return



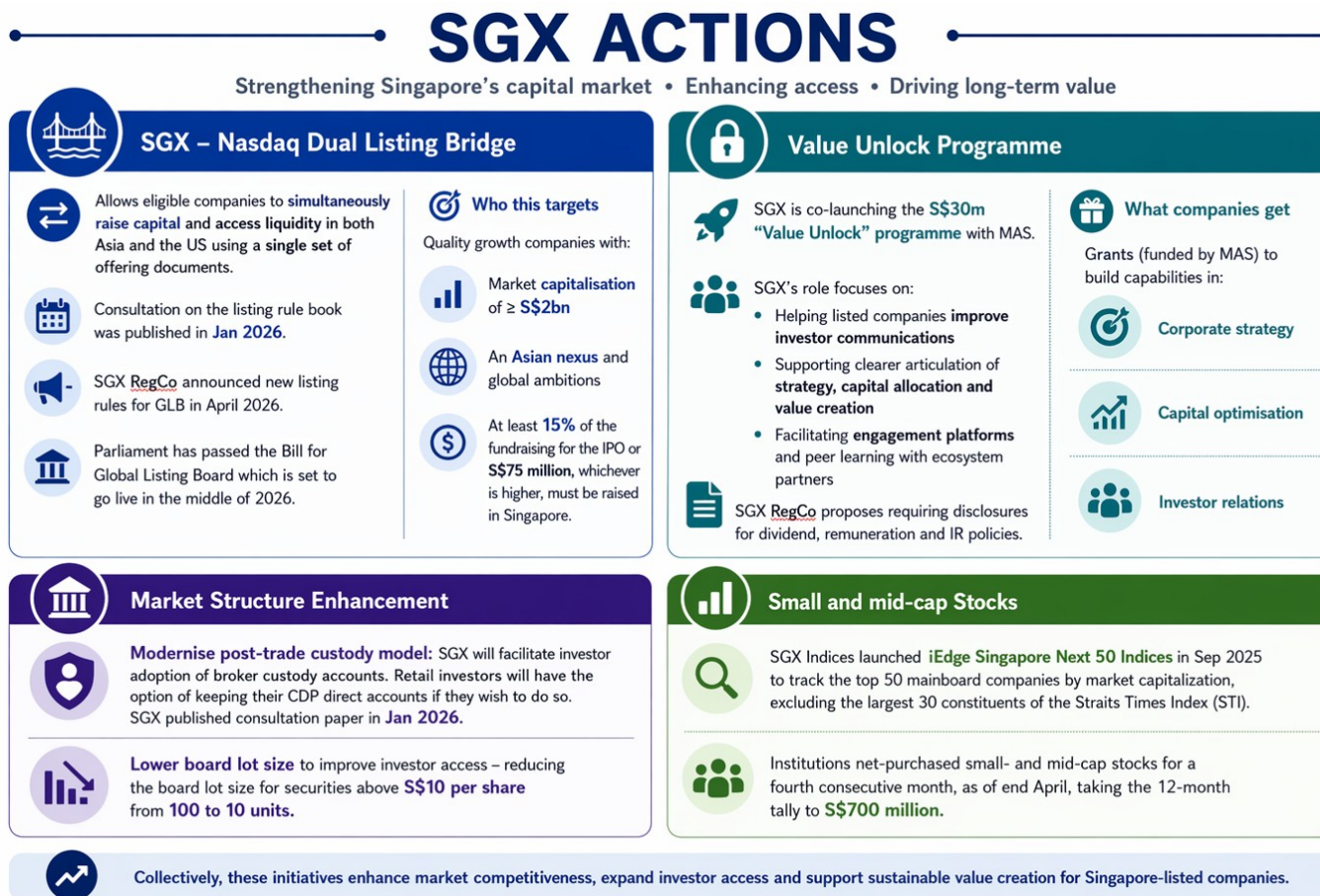
Source: Company Reports, e=Morgan Stanley Research estimates

Wealth Management



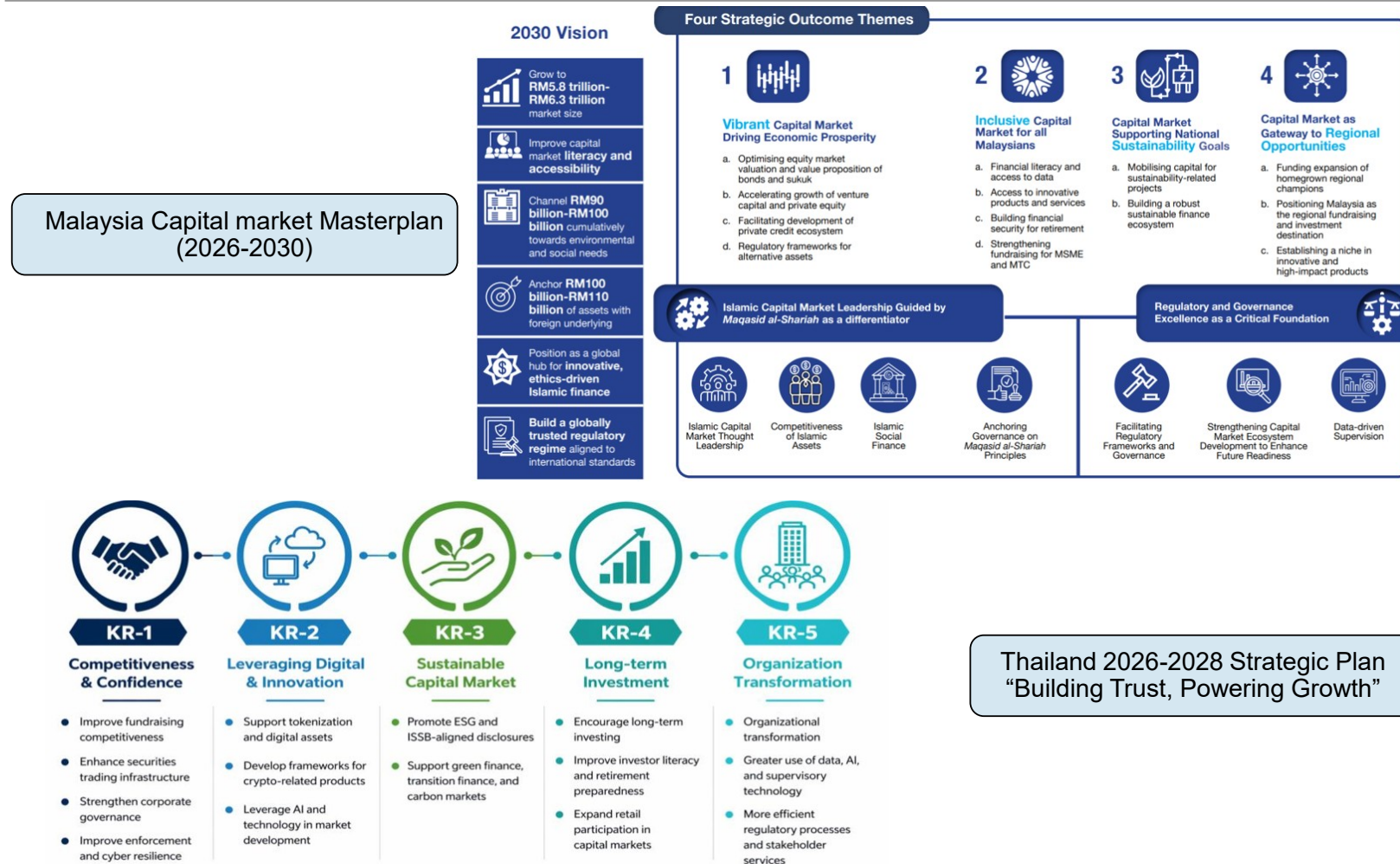
Source: Asia Private Banker, Company Reports, e = Morgan Stanley Research estimates

Singapore Equity Market Reform Timeline



Source: MAS, SGX, Morgan Stanley Research

Equity Market Reform in Emerging ASEAN – Malaysia and Thailand



Source: Securities Commission Malaysia, The Securities and Exchange Commission, Thailand, Morgan Stanley Research

Tokenization - Asian economies are in very different states of development and adoption

Jurisdiction	Regulatory Posture	Wholesale CBDC	Retail CBDC	Tokenized Deposits	Tokenized Securities	Stablecoin Framework	Key Pilots/Live	Lead State Role
Hong Kong	Enabler	PILOT (Project Ensemble sandbox, Aug 2024)	PILOT: (eCNY cross-border; no plans for e-HKD)	LIVE: HSBC, Standard Chartered	LIVE (Govt digital green bonds, largest globally Nov 2025)	LIVE (Ordinance Aug 2025; HSBC/Anchorpoint licenses Apr 2026)	Ensemble+, mBridge	Moderate (HKMA infrastructure + private execution)
Singapore	Proactive Enabler	PILOT (SGD Testnet, Nov 2024)	Exploration through Project Orchid	LIVE (Project Guardian, DBS/OCBC/UOB/HSBC/Stan Chart)	LIVE (Guardian: fixed income, funds, FX)	Consultation 2024; finalization 2025	Guardian commercialization; GL1	Moderate (MAS as convener, private networks)
China	Cautious	Live (mBridge, cross-border and interbank)	Live (e-CNY App in 2022, Digital Deposit since Jan 1, 2026)	Outright Ban	Outright Ban	Outright Ban	mBridge	Low
Japan	Collaborative	PILOT (BoJ blockchain sandbox 2025-2026)	Under evaluation; no issuance decision made yet	Pilot stage led by individual banks	Framework established (STO regulations in place; ongoing incremental enhancements)	Yen stablecoin launched Oct 2025	Real Estate STOs, Tokenized Bond Trading, Tokenized Deposits DvP Pilot	Moderate (regulator-led framework with private-sector implementation)
Korea	Constructive but still pending comprehensive legislation	PILOT - Project Hangang: BoK-led wholesale CBDC infrastructure tested (currently in Phase-2)	No direct retail CBDC issuance; retail-facing tokenized deposit pilot through Project Hangang	Pilot through Project Hangang	Regulatory framework for tokenized securities passed in Jan 2026; detailed rules and KSD-led infrastructure under development	Proposed / under legislative debate: Digital Asset Basic Act / General Act proposals include KRW denominated stablecoins are under discussion but pending approval	Project Hangang (CBDC); KSD security-token platform	High: Public sector-led framework and infrastructure, but with active private-sector pre-positioning
Australia	Constructive	PILOT: (Project Acacia)	NO ISSUANCE: No clear public-interest case for retail CBDC at present	PILOT: Project Acacia	PILOT: Project Acacia	Developing: Stablecoins expected under stored-value / payment licensing reforms	Project Acacia; Project Atom	Moderate: RBA, Treasury, ASIC and APRA
India	Calibrated developmental focus	PILOT (e₹ wholesale) - limited roll-out	PILOT stage (e₹ retail) - limited roll-out	Exploratory stage in certain products	Exploratory stage in certain products	Cautious approach (no private issuance)	1. e₹ cross-border - bilateral engagement with other countries, joined multilateral projects led by the BIS 2. exploring welfare programmability	High (Regulator led)
Malaysia	Experimentation; Discussion paper on payments and sandbox (DAIH)	Participant in Project Mandala and Project Rialto. Experimenting integrating a CBDC into RENTAS	Not an area of focus	Pilots in DAIH by CIMB and Maybank	NA	Pilot of Ringitt stable coin for B2B settlement	Digitized deposits and Ringitt stablecoin	Moderate (BNM roadmap, private participation)
Thailand	Collaborative	LIVE PILOT (mBridge founding member, MVP 2024)	Retail CBDC has completed a real-value pilot, with no immediate issuance.	NA	NA	Proposed	mBridge cross-border	Moderate (BoT infrastructure + banks)
Indonesia	Early stage	Completed Proof of Concept in 2024	Exploration	NA	Pilot test and exploration (tokenised government bond)	Yes, stablecoins are classified as digital assets by OJK	Limited public activity	High (BI-led, capital control sensitivity)
Philippines	Exploratory	Completed Project Agila Proof of Concept	Not exploring	NA	Exploring government bonds	Proposed	Limited pilots	Moderate (BSP frameworks in development)

Source: Morgan Stanley Research

Hong Kong — A Hybrid Market Influenced by Key Global Trends and China Regulatory Influence

- As a regional financial center, it is important for HK to be at the forefront of developing digital assets. HK's digital asset development has been at least five years in the making, with the launch of project Evergreen alongside the Fintech 2025 strategy in 2021.
- RWA and Tokenization could provide opportunities for the HK capital market. However, the ban on tokenization of China-related assets could slow development.
- Stablecoin usage remains crypto-focused, and penetration into key financial payment ecosystems hinges on progress of linking stablecoins from Hong Kong issuers to crypto trading.
- On the positive side, we believe the development of stablecoin regulations will help certain financial firms from Hong Kong and mainland China to gain market share in the global crypto trading market. We see Futu as a key beneficiary of stablecoin development in the Hong Kong market.

Project Ensemble

Focuses on wholesale CBDC infrastructure to support tokenized money interbank settlement. HKMA provides foundational rails, while banks commercialize.

HKMA Stablecoin Ordinance

Granted the first stablecoin licenses to HSBC (planning HKD stablecoin 2H26) and a Standard Chartered-led consortium (Anchorpoint Financial) in April 2026.

Singapore — Digital Assets an Important Component of Its Hub of Hubs Strategy

- Singapore probably represents the most advanced tokenization ecosystem in Asia, characterized by multi-participant networks, regulatory clarity, and a transition from pilot to commercialization.
- MAS is keen to foster the development of digital currencies, but not speculation in cryptocurrencies. Project Dunbar involved the creation of central bank digital currencies and their use in settling international payments.

Project Guardian

A collaborative initiative among policymakers — including international bodies such as the FCA (UK), FSA (JP) and IMF — associations and cooperatives such as SWIFT and ISDA, and the financial industry to enhance liquidity and market efficiency through asset tokenization

Partior

Provides a ledger allowing banks and ultimately corporations to make secure, real-time, 24/7 transactions.

Contour Network Hub

A digital treasury and trade platform hub that enables the digitalization of treasury and trade finance processes such as Letters of Credit (LCs) and bank guarantees.

Project Dunbar

Involved the creation of central bank digital currencies and their use in settling international payments.

MAS has allowed regulated exchanges, including SGX, to set up cryptocurrency futures. DBS also has a digital asset exchange and provides digital asset storage to HNW customers.

Source: MAS, Morgan Stanley Research

Emerging ASEAN — Slower Paced Adoption

Malaysia

- Bank Negara Malaysia (BNM) launched the digital asset innovation hub (DAIH) in June 2025 and published a discussion paper "Asset Tokenisation in the Malaysian Financial Sector" in October 2025.
- Three initiatives - Ringitt stablecoins for B2B settlement led by Standard Chartered and AirAsia; and two separate tokenized deposit initiatives from CIMB and Maybank.
- The Securities Commission Malaysia (SCM) published the Capital Markets Masterplan 2026-2030 in 2026. It expects alternative assets will be increasingly important in Malaysia's capital markets and will look to expand and strengthen its regulation and surveillance in this space.

Thailand

- The Bank of Thailand (BOT) has advanced tokenization across wholesale, retail, and cross-border domains through multiple initiatives over the past several years. Its wholesale CBDC journey started in 2018 with Project Inthanon, which engaged local participating banks to explore the feasibility of DLT to enhance Thailand's financial infrastructure.
- Founding member for Project mBridge, a platform demonstrating enhanced efficiency of cross-border transactions using multi-currency CBDC compared to the current system by eliminating the correspondent banking network

Indonesia

- Bank Indonesia pursued tokenization through Project Garuda in 2022, its CBDC initiative designed to explore the architecture of the Digital Rupiah. BI published a White Paper containing the high-level design of Digital Rupiah.
- In December 2024, Bank Indonesia completed the proof of concept for Project Garuda.

Philippines

- The Bangko Sentral ng Pilipinas (BSP) completed proof of concept of its wholesale central bank digital currency initiative, Project Agila, in 2024. The project engaged various FIs and tested the technology for large value payments.
- BSP targets to issue its wholesale CBDC by 2029. BSP is also exploring the use of CBDC to settle government securities following the pilot of the tokenized treasury bonds.
- The BSP has no immediate plans for retail CBDC.

Source: Central banks, Morgan Stanley Research

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/04/2026)
Nick Lord		
CIMB Group (CIMB.KL)	E (03/23/2020)	RM7.35
DBS Group Holdings (DBSM.SI)	E (10/17/2022)	S\$64.14
Maybank (MBBM.KL)	E (01/08/2021)	RM10.60
Oversea-Chinese Banking Corp (OCBC.SI)	E (12/12/2023)	S\$24.00
Public Bank (PUBM.KL)	E (02/05/2026)	RM4.78
Singapore Exchange Ltd (SGXL.SI)	O (11/18/2024)	S\$21.88
United Overseas Bank (UOBH.SI)	O (12/12/2023)	S\$38.31
Vietnam Technological and Commercial JSB (TCB.HM)	E (10/06/2023)	VND31,700.00
Selvie Jusman, CFA		
Bangkok Bank Public Company Limited (BBL.BK)	O (02/08/2024)	Bt174.50
Bank Central Asia (BBKA.JK)	O (12/05/2023)	Rp5,425
Bank Jago Tbk PT (ARTO.JK)	O (05/10/2023)	Rp1,035
Bank Mandiri (BMRI.JK)	U (05/07/2025)	Rp3,970
Bank Negara Indonesia (BBNI.JK)	E (03/12/2025)	Rp3,420
Bank of the Philippine Islands (BPI.PS)	E (05/14/2026)	PP94.75
Bank Rakyat Indonesia (BBRI.JK)	E (12/11/2025)	Rp2,810
BDO Unibank (BDO.PS)	E (05/14/2026)	PP118.00
Kasikorn Bank Public Company (KBANK.BK)	E (09/11/2025)	Bt203.00
Krung Thai Bank Public Company (KTB.BK)	E (04/04/2024)	Bt35.50
SCB X PCL (SCB.BK)	E (02/08/2024)	Bt141.00
Security Bank Corporation (SECB.PS)	E (01/08/2021)	PP62.70
TMBThanachart Bank PCL (TTB.BK)	U (12/21/2023)	Bt2.28

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